

Nadeem v. State of U.P. And 3 Others

Allahabad High Court · Division Bench · 18 January 2021 · Writ - C No. 27089 of 2020 · **Writ petition disposed of without deciding merits; petitioner to file a representation within three weeks for a reasoned speaking final assessment after hearing, preferably within four weeks of receipt; no coercive action on the citation dated 18.11.2020 for six weeks or until that decision, whichever is earlier; no benefit if the representation is not filed**

HEADNOTE

A provisional assessment under Section 126 of the Electricity Act, 2003 does not become a final assessment merely because the consumer filed no objection, including failure to reply within 15 days. Clause 8.1 of the U.P. Electricity Supply Code, 2005 requires inspection, provisional assessment, hearing and final assessment in a theft case. Applying *Shishir Jain*, the consumer cannot be compelled to deposit the provisional amount unless a final assessment is made after an opportunity of hearing and a copy of that order is supplied. Treating the provisional figure as final without a hearing is *dehors* Section 126 and Clause 8.1 and violates natural justice. Without entering the merits, the Court directed a representation for a speaking final assessment after hearing and stayed coercive action on the 18 November 2020 recovery citation; it did not quash the citation.

FACTUAL SUMMARY

Nadeem filed Writ-C No. 27089 of 2020 in the Allahabad High Court seeking certiorari to quash a recovery citation dated 18 November 2020 issued by respondent no. 4, and a mandamus restraining recovery of Rs. 1,68,364. He said he held a valid electricity connection and paid bills regularly. On 11 September 2019 a checking squad inspected his premises and reported theft of electricity. An FIR was lodged on 25 September 2019 under Section 135 of the Electricity Act, 2003. A provisional assessment notice dated 31 October 2019 under Section 126 was sent to him by registered post. He did not file an objection. He alleged that no final assessment notice was thereafter served, yet the citation issued, and that Section 126(3) of the Act and Clause 8.1 of the U.P. Electricity Supply Code, 2005 had not been followed. Counsel for the Power Corporation (respondent nos. 2 and 3) could not show that want of a reply within 15 days converts the provisional assessment into a final assessment.

REUSABLE CONSTRUCTIONS

1. Want of objection to a provisional assessment, including failure to reply within 15 days, does not convert it into a final assessment. ¶ 5
2. A consumer cannot be compelled to deposit on a provisional assessment unless a final assessment is made after an opportunity of hearing and a copy of that order is supplied. ¶ 8
3. Treating the amount in a provisional assessment as the final assessment without a hearing is *dehors* Section 126 of the Electricity Act, 2003 and Clause 8.1 of the Supply Code, 2005, and violates natural justice. ¶ 8
4. Clause 8.1 of the Supply Code, 2005 is the licensee's procedure for inspection, provisional assessment, hearing and final assessment in a case of theft of electricity. ¶ 8

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

theft assessment — provisional figure cannot be treated as final without hearing

QUESTION

May a licensee recover a theft demand by treating a Section 126 provisional assessment as final because the consumer filed no objection within 15 days, without a hearing and without supplying a copy of a final order?

HOLDING

No. The Court was not convinced that absence of objection to a provisional assessment treats it as final. Clause 8.1, read with Section 126, requires inspection, provisional assessment, hearing and a final assessment in theft cases. Treating the provisional amount as the final assessment without a hearing, and compelling deposit without supplying a copy of that order, is *dehors* Section 126 and Clause 8.1 and violates natural justice. Applying *Shishir Jain* paragraph 16, the petitioner could not be compelled to deposit on the provisional figure. Without deciding merits, he was directed to file a representation within three weeks for a reasoned speaking final assessment after hearing, preferably within four weeks of receipt. Coercive action on the 18.11.2020 citation is stayed for six weeks or until that decision, whichever is earlier; if he does not file the representation, he gets no benefit of the order. ¶ 5, 8-11

QUALIFIER

The citation was not quashed. Petitioner invoked Section 126(3) and Clause 8.1; the Court's holding is framed as Section 126 and Clause 8.1.

FLAG Unnumbered 18.1.2021 order; paras are sequential blocks after the cause-title (1 heard; 2 reliefs; 3 checking 11.09.2019, FIR 25.09.2019 under s.135, provisional notice 31.10.2019 by registered post, no objection, no final assessment served, citation 18.11.2020 for Rs. 1,68,364; 4 no hearing, s.126(3) and Clause 8.1, *Shishir Jain*; 5 licensee could not show that want of a 15-day reply makes the provisional assessment final; 6-7 *Shishir Jain* para 16 quoted; 8 procedure *dehors* s.126 and Clause 8.1, Clause 8.1 described as the theft path, treating provisional as final without hearing violates natural justice; 9 representation directed without entering merits; 10 stay of the 18.11.2020 citation; 11 no benefit if representation not filed). Catalog hits on Clauses 4.3 and 4.35-4.39 are false positives.

HOLDING-UNIT · EA2003::126

no compulsion to deposit a provisional Section 126 assessment until a final assessment after hearing

QUESTION

Does failure to object to a provisional Section 126 assessment, including within 15 days, convert it into a recoverable final assessment?

HOLDING

No. Licensee's counsel could not show that want of a reply within 15 days treats the provisional assessment as final. Following *Shishir Jain* paragraph 16, without a final assessment after considering the objection and giving an opportunity of hearing, and without supplying a copy of that order, the petitioner cannot be compelled to deposit the provisional amount. The procedure adopted was held *dehors* Section 126. Recovery was not allowed to proceed as a concluded final assessment; it was stayed pending a speaking decision on a representation after hearing. ¶ 5, 8-10

QUALIFIER

Petitioner invoked Section 126(3); the Court's own holding is framed as Section 126. The citation was not quashed.

PRINCIPLE TAGS

opportunity-before-final-assessment A provisional notice dated 31.10.2019 was served by registered post. No objection was filed and no final assessment was served. The Court would not treat the provisional figure as final, or permit recovery on it, without an opportunity of hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5, 8

clause-8.1b-personal-hearing-mandatory-before-final-assessment Clause 8.1 was applied as the theft path requiring inspection, provisional assessment, hearing and final assessment; treating the 31.10.2019 provisional figure as final without hearing was held to violate that procedure and natural justice. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 8

final-assessment-order-mandatory-under-section-126-3 Applying *Shishir Jain* paragraph 16, the Court held that want of a 15-day reply does not convert a provisional Section 126 assessment into a final order, and the petitioner could not be compelled to deposit until a final assessment after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 5, 8

no-recovery-without-final-assessment-clause-8.1(b) The 18.11.2020 recovery citation, issued without a served final assessment after hearing, was not allowed to operate as concluded recovery; coercive action was stayed pending a speaking order after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd.* ¶ 8-10

Clause 8.1 assessment procedure; the Court still required a hearing and a final assessment before recovery of the theft demand. ¶ 3, 8

assessment-demand-notice-relegated-to-representation-without-merits

Without entering the merits, the Court did not quash the 18.11.2020 citation. It directed a representation for a reasoned speaking order on final assessment after hearing. ¶ 9-11

NOT DECIDED — NEGATIVE AUTHORITY**NOT DECIDED — MERITS OF THE THEFT ALLEGATION AND THE QUANTUM OF RS. 1,68,364**

Expressly left undecided; a representation was directed for a reasoned speaking order after hearing. ¶ 9

NOT DECIDED — QUASHING OF THE RECOVERY CITATION DATED 18.11.2020

Sought as relief (i). The citation was not quashed; coercive action was stayed only for six weeks or until the representation is decided, whichever is earlier. ¶ 2, 9-10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	If there is no final assessment, the consumer cannot be compelled to deposit the provisional assessment; without a final assessment after considering the objection and giving an opportunity of hearing, demand notices are not sustainable.		Court	Followed

SCJ-3226 · Nadeem v. State of U.P. And 3 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.